

BOARD MEETING OF THE CBA

MINUTES

(15.09.2020)

On the Refinancing Rate

The CBA Board Meeting of September 15, 2020 attended by Governor Martin Galstyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Hovhannes Khachatryan

The Board meeting opened with a report of the situation as of September 15, 2020. It addressed the developments on inflation, external environment and real, fiscal and monetary sectors of the economy in the context of assessing the impacts and consequences of the coronavirus pandemic.

There was 0.1% deflation in August 2020, compared to 0.4% deflation observed in the same month last year, **with the 12-month inflation expanded to 1.8%**. The month's negative inflation figure was mainly due to 0.9% drop in prices of item "Food and non-alcoholic beverage " (contribution to inflation: - 0.35 pp), within the structure of which the prices of "Fruit" and "Vegetables" product groups decreased by 4.9% and 3.3%, respectively. Among non-food products, the prices of "Clothing and Footwear" item decreased significantly by 1.7%, which contributed to the inflation by -0.07 percentage points. Tariffs for services grew during the month, with the tariffs for "Transport" and "Restaurants and Hotels" services rising by 2.2% and 0.7%, respectively. In August, **the 12-month core inflation** also grew slightly, mainly driven by the growth in the prices of the "Fuel" item and made **1.1%**.

In the external sector, global economic activity posted certain recovery during the third quarter, but as the uncertainty surrounding the final overcoming of the pandemic remains, the Central Bank considers that in these conditions the recovery of economic activity and gross demand of the main partner countries of Armenia will be significantly delayed. In particular, due to persistent uncertainties and possible labor market distortions, private spending in the US and the Eurozone will be restrained for longer, slowing economic recovery. In Russia, the medium-term negative effects will be partially offset by a faster recovery in oil prices over the previous forecasts. Such economic developments also affect the trends of the main commodity markets, maintaining the low inflationary environment. Taking into account the

above, along with the largely stimulating fiscal policy, central banks of the main partner countries of the Republic of Armenia, will continue to pursue a stimulative monetary policy.

While discussing the current state of the Armenian economy, it was noted that in the first half of the year, the economic growth was fully in line with the Central Bank's projection and made -5.7%, however, some deviations were observed in sectoral developments. In particular, instead of the projected 30.1%, the decline in the construction sector was higher - 39.5%, but at the same time, the industry and services sectors experienced smaller-than-expected declines of 5.6% and 14.4%, respectively, instead of the projected 10.6% and 15.4%, respectively. In July, a deeper decline in economic activity was observed compared to the previous month, which was primarily attributable to the decline in services. In addition, from the point of view of future forecasts, the importance of discussion of the health scenario was emphasized, where the judgment was accepted that even after the lifting of restrictions, the spread of the infection will be within the manageable limits and there will be no need for new ones. At the same time, uncertainty and cautious behavior of households will continue to have a restraining effect on demand recovery.

In the context of the above, the Central Bank revised its economic growth forecasts downwards: in 2020, a decline of 6.2% is expected instead of the previously projected 4.0%, and in 2021, a 4.9% growth instead of the previously projected 5.5%. The slowdown in medium-term growth will be mainly attributable to a certain loss of GDP potential due to the delay in investments and declining productivity amid the uncertainty created by the pandemic. In the first half of the year, along with the decline in economic activity, domestic demand also weakened significantly, which was reflected in notable reductions in both private consumption and private investment. These trends continued in July as well, and, despite the stimulative fiscal and monetary policies promoted by the Government and the Central Bank somewhat eased the restraint of domestic demand, but uncertainties over the final neutralization of the pandemic remain high, prompting people to exercise more cautious consumer and investment behavior. Under this situation, the Central Bank considers that domestic demand will remain sluggish in the coming quarters, and the expected recovery will be somewhat delayed. It was also noted that a certain positive trend was registered in the structure of remittances from abroad, as remittances from the United States and other countries are growing, partially offsetting the impact of reduced remittances from Russia on aggregate demand. The Board also noted that the certain activation of domestic tourism observed in recent months has only to a small extent and partially offset the negative developments in the sector.

Concerning developments in the financial market of the Republic of Armenia, during the third quarter also, market interest rates appropriately responded to changes in the refinancing rate of the Central Bank. Thus, short-term interest rates have decreased and were constantly in line with the policy (refinancing) interest rate. It was noted that albeit relatively slower the yield on government bonds in the short run also declined. Interest rates on loans and deposits in the banking system have manifested a generally stable behavior, primarily due to high competition on the one hand and the high risk to the economy in the current economic downturn on the other. Business lending rates were exception, which fell slightly due to government measures to mitigate the pandemic. This is evidenced by the results of a survey conducted by the Central Bank among financial institutions on credit terms, which also confirm the factor of prevailing influence of public support programs on business lending volumes and interest rate trends. In this context, issues related to the lending process were also discussed, and it was noted that currently the implementation of economic assistance programs by the Government contributes significantly to the growth of lending.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. Given the continuing low inflation environment, the slowdown and delay in the recovery of external and domestic demand in the outside world and in Armenia due to the current uncertainty over the final stages of the pandemic, ***the Board reviewed two options for easing monetary conditions: by 0.25 and 0.5 percentage points.*** After scrutinizing all the above-mentioned arguments about the actual and expected macroeconomic situation, the CBA Board largely agreed with cutting of the refinancing rate. However, on the other hand, the Board remained of the view that, in addition to monetary stimulus, a stronger fiscal stimulus policy is key to restoring aggregate demand, as the results of the survey submitted to the Board showed that different sectors of the economy in the current situation have suffered severe disproportionate losses, while monetary policy has a general impact. Subsequently, a decision ***to cut the refinancing rate by 0.25 percentage points*** was approved by the majority of votes. In the event of projected economic developments, the Board is inclined to continue easing monetary conditions in the near future. At the same time, the Board stressed that the stimulus position would need to be maintained in the medium term, as a result of which inflation would gradually grow and stabilize around the target at the end of the projected period.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

The Central Bank of the Republic of Armenia

Board Decision

Interest Rates of the Republic of Armenia Central Bank Operations in Financial market

By virtue of Article 2.3 (20) “c” and “f” of the Republic of Armenia law “On the Central Bank”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 4.25%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 5.75%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 2.75%.
4. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

***Martin Galstyan,
Governor of the Central Bank***

***September 15, 2020
c. Yerevan***

PRESS RELEASE
15.09.2020

At the October 27 meeting, the CBA Board decided to keep the refinancing rate unchanged at 4.25%.

Inflation in September 2020 stood at -0.2%, compared to 0.2% in the same month of the previous year. As a result, the 12-month inflation amounted to 1.4%. At the same time, the 12-month core inflation somewhat increased to 1.3%.

Despite some positive developments in the global economy in the third quarter, it is estimated that in September-October, in light of the new pace of coronavirus spread and resulting high uncertainties, the recovery of global demand and economic activity will be somewhat delayed. At the same time, a weak inflationary environment persists in the commodity markets. Under such conditions, central banks of main partner countries will continue pursuing expansionary monetary policy. Hereby, the CBA Board estimates that no significant inflationary impact is expected from the external sector on the Armenian economy.

Low economic activity prevailed in Armenia in the third quarter and a 7.5% decrease in economic activity compared to the same month of the previous year was registered in September, which was mainly a result of a significant reduction in the services sector. Despite the expansionary fiscal policy, domestic demand was slightly weaker than expected during the quarter, mainly due to a deeper reduction in private consumption. The large-scale military attack by Azerbaijan along the entire line of contact of Artsakh (Nagorno Karabakh) on 27th September, as well as the incomparably rapid spread of the coronavirus in the first half of October, created a negative environment for both supply and demand developments. It is estimated that along with a somewhat reduction in output, uncertainty regarding economic growth outlook will increase, thus delaying the recovery of economic activity and domestic demand. In this situation, the Government outlines the implementation of a sizable fiscal expansion, mainly due to the increase in military spending and expenses aimed at overcoming the pandemic.

Taking into account the above-mentioned actual and expected macroeconomic developments, as well as the fact that the country's risk premium has increased to some extent during the military actions and certain risks of inflation destabilization have arisen, the CB Board considers it convenient to leave the refinancing rate unchanged. Under these circumstances, inflation will gradually increase and stabilize near the 4% target at the end of the forecast horizon.

The Board estimates that the risks of inflation deviating from the projection are balanced. In case risks materialize, the Central Bank is ready to respond accordingly to ensure price stability in the medium term.

Detailed information underlying the decision on the level of interest rate will be available in the Press release (Minutes of the CBA Board meeting), to be published on 10th of November 2020

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